

even tiny changes in this number will cause dramatic changes in their future prospects.

A consequence of this is that many viral products do not charge customers directly but rely on indirect sources of revenue such as advertising. This is the case because viral products cannot afford to have any friction impede the process of signing customers up and recruiting their friends. This can make testing the value hypothesis for viral products especially challenging.

The true test of the value hypothesis is always a voluntary exchange of value between customers and the startup that serves them. A lot of confusion stems from the fact that this exchange can be monetary, as in the case of Tupperware, or nonmonetary, as in the case of Facebook. In the viral engine of growth, monetary exchange does not drive new growth; it is useful only as an indicator that customers value the product enough to pay for it. If Facebook or Hotmail had started charging customers in their early days, it would have been foolish, as it would have impeded their ability to grow. However, it is not true that customers do not give these companies something of value: by investing their time and attention in the product, they make the product valuable to advertisers. Companies that sell advertising actually serve two different groups of customers—consumers and advertisers—and exchange a different currency of value with each.²

This is markedly different from companies that actively use money to fuel their expansion, such as a retail chain that can grow as fast as it can fund the opening of new stores at suitable locations. These companies are using a different engine of growth altogether.

The Paid Engine of Growth

Imagine another pair of businesses. The first makes \$1 on each customer it signs up; the second makes \$100,000 from each customer it signs up. To predict which company will grow faster, you need to know only one additional thing: how much it costs to sign up a new customer.